

# PITCH — OWL — VERDICT

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**ADJUDICATED 2026-09-16 — FLAT — weakest of the private-credit cohort (conviction 7/10).**

The court found nothing to own at this price; the reopen gates below are the only path back.

*(Blue Owl Capital Inc., CIK 1823945, NYSE: OWL — tape \$11.84, -35.0% from the 52-week high, +52.4% off the 52-week low. Book today: NO POSITION, no working orders. Both benches landed on ACCEPT-WITH-CUTS / PARTIALLY-OVERTURNED at 7/10 conviction each.)*

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## What we believe

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Blue Owl collects management fees on \$190.6B of fee-paying assets. Those fees are contractual, mostly on perpetual or long-dated vehicles, and they arrive whether or not markets cooperate. The stock is down 35% from its high. The measurable damage the two benches could actually prove — a fee-rate slip of 2.1 basis points a quarter, worth about **\$40M a year or 2.5 cents per share** — is roughly 3% of the share price. A 35% de-rate against 3 cents of proven annual damage is the whole idea.

We think the market has re-priced this from “compounding fee machine” to “shrinking private-credit sponsor” on a story about non-traded fund redemptions, and that the redemption channel is mechanically too small to do that job. The benches sized it: the biggest redeeming vehicle (OCIC) has roughly **\$19.1B of NAV**, its quarterly redemption cap is **5% = \$0.957B**, which is **0.50% of total fee-paying assets per quarter**, against **\$7.8B of gross fundraising in the same quarter**. The pipe is not wide enough to drain the tank unless fundraising halves again.

At \$11.84 we pay about **13.3x** the street’s 2026 distributable earnings (\$0.89) and about **18.0x** once we subtract the ~\$365M of stock compensation that sits outside the adjusted numbers (**\$0.23/share**). The dividend is **\$0.92 a year, a 7.8% yield**.

We are proposing a **starter only** — roughly a third of a full position — because the payout is above 100% of earnings and the two nearest catalysts are unverified.

## What the market believes

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The market believes the wealth-channel redemption cycle is early, not late; that private-credit marks have not yet caught up to reality; and that a 7.8% yield paid out of 104% of earnings is a yield that gets cut. Sell-side price targets run **\$10 to \$17** (BofA cut \$17 to \$16, still Buy) — a spread that tells you the analysts agree on the earnings and disagree entirely on what to pay for them. The tape sits at the bottom of that range.

The market also believes — correctly — that fee-paying assets growing while fees fall is a bad sign. Assets rose 1.17% quarter over quarter while management fees fell 0.34%, and the CFO said credit fee-paying assets “saw a slight decline.”

## Why we might have edge

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1. **The disputed variable is the multiple, not the earnings.** The red bench’s strongest attack was “we agree with the street’s \$1.02 fee-related earnings / \$0.89 distributable earnings, therefore we have no edge.” The blue bench overturned that using red’s own evidence: the street’s estimate is \$0.89 and the street’s price targets are \$10–\$17 against a tape of \$11.84. Agreeing on the numerator is not the same as agreeing on the price. Nobody in the pack has priced the multiple; that is where we are taking the other side.
2. **The redemption bound is arithmetic, not narrative,** and it was rebuilt independently from a *different* SEC registrant’s filings — OCIC’s own tender documents — after one bench wrongly declared the calculation impossible. Two separate roads landed on the same \$0.96B/quarter cap.
3. **The scariest damage number in the bear case is a rate-cycle artifact.** Red pointed at Part I incentive fees falling 0.7% year over year as proof the franchise is decaying. Those fees are earned on floating-rate credit income; they track short-term interest rates, not investor redemptions. Blue caught the substitution. If the market is de-rating the whole franchise off a line item that moves with SOFR, that is a mispricing we can hold.
4. **One real dilution scare is fake.** The share count in the audited data jumps 498M → 656M, which looks like heavy dilution. It is the Up-C structure converting private units into public Class A shares — the public count rises, total ownership units do not. We have been burned by this exact artifact before and got it right this time.

## Why it might be priced in

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- **There is no company guidance.** The “\$1.02 guide” both the original pitch and the bulls lean on is not a company number — management said it expects to *beat* a named third-party consensus (\$1.02 fee-related earnings / \$0.89 distributable earnings). The audited earnings release contains **no forward per-share figure at all** (Q2’26 deck carries only realized \$392.2M / \$0.25 and \$351.2M / \$0.22). So our forward number *is* the street’s forward number. We concede this fully. Our edge cannot be the estimate.
- **The dispersion may already be harvested.** The stock is +52.4% off its low. If that bounce happened after a spring redemption shock, we are buying the recovery, not the dislocation. Blue correctly flagged that we never verified *when* the low was set — we ran no price history — so this discount is being applied on a guess.
- **Stock comp outside adjusted earnings is a decade-old, universally published criticism of every alternative manager.** Nobody is unaware of it. Our 18x ex-comp number is not news.
- **Fee-rate walks are in every sell-side model.** The 2.1bp compression we treat as small is a line item in everyone’s spreadsheet.
- **The payout is public.** A dividend at 104% of earnings alongside fresh 6.750% ten-year debt is visible to anyone who reads the filings. If the yield gets cut, nobody will be able to say they

weren't warned — including us.

## What could go wrong

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### **Failure narrative 1 — The dividend gets cut and the holder base changes hands all at once.**

The declared dividend is \$0.23/quarter = \$0.92/year against \$0.88 of run-rate distributable earnings (104.5%) and \$0.89 consensus (103.4%). Meanwhile the company issued **\$750M of 6.750% notes due 2036** on 2026-08-18 ([8-K 0001193125-26-355671](#)), interest payable each February 18 and August 18 starting 2027-02-18 — \$50.6M of gross coupon, about 3 cents a share, though proceeds repaid the revolver so the *net* increment is smaller (red corrected this against its own case; we adopt the correction). A yield cut on a 7.8%-yield name doesn't re-price 10%, it re-prices 25–35%, because the buyers who own it for the income are mandated out and sell into each other. **Tripwire: exists** — the quarterly declaration, normally alongside the print.

**Failure narrative 2 — Fee-rate compression is a trend, not a quarter.** Realized rate went 1.4094% → 1.3884%. If that repeats four times, we lose 10 cents of earnings power, not 2.5 — and at 13x, that is \$1.30 of share price, plus the multiple compression that comes with a shrinking franchise. Blue softened this finding (the rate was computed with period-*end* assets against in-period fees, which biases the rate low when assets are rising) but “partly a construction artifact” is not “zero.” **Tripwire: exists** — realized rate at each print; we need ≥1.400%.

**Failure narrative 3 — NO MONITORABLE TRIPWIRE.** The money that pays our fees comes through wirehouse and RIA home-office platforms. A single platform deciding to de-authorize or cap Blue Owl's non-traded products is a private commercial decision: it appears in no 8-K, no tender document, and no monthly NAV release. We would see it two or three quarters later, as a fundraising number that missed. The same blindness covers the loan-level quality inside the private vehicles — those are unobservable, manager-marked private credit assets in funds we do not own and cannot look through. Red's 10%-markdown scenario (10% × ~\$100B of credit assets ≈ \$130M of fees ≈ **8 cents**, 2.7x the entire redemption bound and capped by nothing) was thrown out of the verdict on a technicality — our own rule says verdicts rest only on confirmed or refuted findings, and red graded its own markdown “plausible.” **Unknown-unknown class, named: off-filing counterparty and distribution-channel decisions, plus opacity of manager-determined (Level 3) marks inside vehicles we neither hold nor can monitor.** There is no sensor for this. The only defense is size.

**The reflexive / structural leg.** Our own footprint is not the problem: average daily volume is not in the pack, but on an estimated 7–11M shares/day (~\$85–130M) a 2.25%-of-book position is a small fraction of one day's trade, and we are not the marginal price-setter. The problem is *other people's* predicted flow. This is an income-mandate holder base at a 7.8% yield, and the flow is one-directional at exactly the wrong moment: on a cut, forced sellers arrive together and there is no natural bid until the yield-agnostic value buyer shows up 25% lower. That is why the bad branch in our table is a retest of the low, not a 10% drawdown.

Three of our own rules interact badly here, and we should say so. (a) “Verdicts only on confirmed or refuted evidence” correctly deleted the 8-cent markdown from the *verdict* — but if we let it delete the risk from the *sizing* too, we are under-hedged against the fattest tail in the book. We size for it

anyway. (b) “Crowding and timing are a reason to size down, never to reject” means we cannot reject on the +52% bounce — but we also never verified the price path, so we are applying a discount to a story we haven’t checked. (c) The venue rule (“audited filing beats the spoken word”) strips us of the “\$1.02 guide” language, which means our forward number has no company commitment behind it at all. All three push the same way: smaller.

If this position loses money, the most likely reason will be a dividend cut that pushes the income-mandate holders out the door simultaneously, in a name where the true earnings power was already 26% below the headline once stock compensation was counted, and where we had no way to see the fundraising channel closing until the quarter after it closed.

## What we checked ourselves

| Claim                                                                 | How checked                                                                                            | Found                                                                                                                                                                                                       | Confirmed?                                                                                            |
|-----------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------|
| Tape: –35% from high, +52.4% off low                                  | Recomputed from pack high/low (18.2112 / 7.7689) vs \$11.84                                            | –34.99% and +52.40%; internally consistent                                                                                                                                                                  | <b>YES</b>                                                                                            |
| “Management reaffirmed a >\$1.02 FY26 guide”                          | Audited earnings release vs spoken call                                                                | Release carries only realized \$0.25 fee-related / \$0.22 distributable earnings and <b>no forward per-share number</b> ; the \$1.02/\$0.89 is a third-party consensus figure management said it would beat | <b>YES — and it kills our own language.</b> Struck from the deck                                      |
| Realized fee rate 1.4094% → 1.3884%                                   | Arithmetic reproduced                                                                                  | Exact: fees –0.343%, assets +1.168%, –2.1bp = \$40.0M/yr = <b>2.5¢/share</b>                                                                                                                                | <b>YES, with a caveat</b> (period-end assets vs in-period fees biases the rate low while assets rise) |
| Redemption cap sizing                                                 | Rebuilt from OCIC’s own tender filings: \$3.6B = 18.8% of shares ⇒ NAV \$19.15B; 5% cap = \$0.957B/qtr | 10.05% of fee-paying assets; cap = 0.50% of assets per quarter, vs \$7.8B raised that quarter                                                                                                               | <b>YES</b> — two independent routes agreed                                                            |
| Payout ratio                                                          | \$0.92 declared annualized ÷ \$0.88 run-rate distributable earnings                                    | <b>104.5%</b> (103.4% on consensus \$0.89)                                                                                                                                                                  | <b>YES</b>                                                                                            |
| \$750M 6.750% 2036 notes, terms                                       | Fingerprinted 8-K text in the pack                                                                     | Coupon, Feb 18/Aug 18 dates, unsecured, 12 guarantors, shelf 333-279546 all confirmed; proceeds repay revolver                                                                                              | <b>YES</b>                                                                                            |
| <b>OUR ERROR (red bench): stock comp \$679M/yr</b>                    | Q1’25 \$169.676M × 4                                                                                   | Q1 is the annual grant quarter. ×4 is exactly the base-effect trick we exist to catch. <b>Discarded.</b> Corrected figure: ~\$365M = \$0.233/share, so 18.0x, not 26.5x                                     | <b>NO — bench artifact, withdrawn</b>                                                                 |
| <b>OUR ERROR (red bench): Part I fees –0.7% YoY = franchise decay</b> | Nature of the line item                                                                                | Those are BDC incentive fees on floating-rate net investment income — they                                                                                                                                  | <b>NO — bench mis-specification</b>                                                                   |

| Claim                                                                                               | How checked                   | Found                                                                                                                                                                                                                                         | Confirmed?                                             |
|-----------------------------------------------------------------------------------------------------|-------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------|
|                                                                                                     |                               | move with interest rates, not with redemptions. Imported into a redemption argument.<br><b>Withdrawn as evidence of decay</b>                                                                                                                 |                                                        |
| <b>OUR ERROR (red bench): “one reportable segment, so the 11%-of-assets claim can’t be checked”</b> | Cross-registrant arithmetic   | Segment reporting is irrelevant; the funds are separate SEC registrants with their own filings. Claim reconciles to ~10–12%.<br><b>Overtured</b>                                                                                              | <b>NO — bench was wrong; task was performable</b>      |
| <b>OUR ERROR (red bench): OBDC “86% of book” used as evidence of a NAV markdown</b>                 | Definition check              | That is a <i>market</i> price-to-book, not a NAV mark — and a fund buying its own stock below book raises NAV per share. Logged as damage when it was accretion                                                                               | <b>NO — bench conflation</b>                           |
| <b>OUR ERROR (red bench): claimed to have run the cash-flow series</b>                              | Looked for the result         | No result was ever reported. And the figure doesn’t tie: \$17.586M of operating cash flow against ~\$393M of quarterly fee-related earnings                                                                                                   | <b>NO — unreported check, treated as not done</b>      |
| <b>OUR ERROR (both benches): the audited data block was trusted too far</b>                         | Sanity checks                 | The “revenue” series (\$137.965M/qtr) is a sub-line, not total revenue; the diluted share series oscillates 498M → 1,491M → 656M (period-mixed). <b>Use the earnings deck figures, not this block, for anything load-bearing</b>              | <b>NO — pack data partly unreliable; flagged</b>       |
| <b>OUR ERROR (red bench): sensor list defective</b>                                                 | Audit against dispatched list | Five dispatched sensors skipped, four consulted that were never dispatched. One skipped item was refutable from the pack’s own front page in 30 seconds (the emerging-growth-company box is unchecked, so no reduced-disclosure stack exists) | <b>NO — process failure, corrected</b>                 |
| <b>OUR ERROR (blue bench): “hold the STARTER”</b>                                                   | Book check                    | The book holds <b>NO POSITION</b> . Blue wrote its verdict as if a starter existed. Every “hold” instruction in that ruling has to be re-read as an <i>initiate</i> decision, which is a higher bar                                           | <b>NO — bench assumed a position we don’t have</b>     |
| <b>OUR ERROR (both benches): prize table declared “N/A”</b>                                         | Re-read of the requirement    | Both benches waived the scenario table on the grounds that Blue Owl is a cash-generating manager, not a pre-revenue project.                                                                                                                  | <b>NO — mandate mis-scoped; corrected in this deck</b> |

| Claim                                                | How checked                     | Found                                                                                                                                                                                                             | Confirmed?                                          |
|------------------------------------------------------|---------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------|
|                                                      |                                 | That waiver applies to a different test. There are time-gated unknowns here (the October tender result, the print), so <b>the table is reinstated below</b>                                                       |                                                     |
| The original pitch's "\$51M/yr incremental interest" | Reading the 8-K use of proceeds | Gross, not net — proceeds repaid the revolver. Red corrected this <i>against its own bear case</i> ; we adopt it                                                                                                  | <b>YES — original pitch overstated its own risk</b> |
| Both benches' network access                         | Attempted fetches               | No egress: sec.gov and the fallback both returned nothing; no live quotes, no price bars, no transcript.<br><b>Everything below is arithmetic on the pack plus figures both benches cite from primary filings</b> | <b>COVERAGE GAP, disclosed</b>                      |

## PROPOSED ENTRY BANDS

All levels derive from the benches' own math: consensus distributable earnings \$0.89, run-rate \$0.88, ex-stock-comp \$0.657, published target range \$10–\$17.

**Starter — initiate now - BUY 0.75% of book** at market, limit **\$12.10** (13.6x consensus earnings). Preferred fill at or below \$11.84. - Why now and not later: the tape is at the bottom of the street's own target range, and 13.3x is below the fair-value anchor both benches used. Red explicitly withheld a rejection because the price is *not* above that anchor. - Why only a third: the payout is above 100%, and the two nearest facts are unverified.

**Add 1 — gated on the tender result, ~2026-10-01/02 (unconfirmed date)** - Trigger: OCIC redemption requests **< 12%** and OTIC **< 25%** of shares. (Last quarter: OCIC 18.8%, OTIC 38.1% requested.) - Action: **+0.75% of book**, limit **\$12.75**. - If requests come in  $\geq 19\%$  (OCIC) or  $\geq 38\%$  (OTIC): **no add, cancel Add 2, tighten the stop to \$10.50**. The redemption story would then be widening, not narrowing.

**Add 2 — gated on the print, 2026-10-29 (UNCONFIRMED — derived date, no company press release names it; the company's pattern is a last-Thursday release, 2026-04-30 and 2026-07-30)** - Trigger, both required: realized management-fee rate  **$\geq 1.400\%$**  (rate re-expansion, not just asset growth) **and** gross fundraising **> \$11.0B** (reversing two down quarters, up from \$7.8B). - Action: **+0.75% of book**, limit **\$13.50**. **Maximum total position 2.25% of book**.

**Trims** - Sell one third at **\$16.00** (18x consensus earnings — BofA's target and effectively the top of the published range). - Sell the remainder at **\$17.50**, above every published target.

**Exits / stops - Dividend cut announced → exit in full at the next open**. No waiting for the conference call. This is the forced-seller branch and we do not want to be inside it. - Realized fee rate below **1.36%** for two consecutive quarters → exit in full regardless of price. - Price: close

below **\$9.47** (–20%) → cut the position in half. Close below **\$8.50** → out entirely. - Instrument: **common stock only**. No options until a real options chain has been pulled (see the vol read).

**Catalyst dates:** ~2026-10-01/02 (3Q OCIC/OTIC tender result 8-K — nearest, ~16 trading days); 2026-10-29 (3Q print + dividend declaration — unconfirmed); 2026-12-31 (business-combination stock grants roll off in Q4, which mechanically improves the stock-comp line); 2027-02-18 (first coupon on the new notes — confirmed in the 8-K).

## ARMED SENSORS

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(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 8.5 (deck-provisional: full exit; below this the dividend-cut branch is being priced regardless of announcement)
- filing watch: 8-K, SC TO-I until 2027-03-06 (deck-provisional: OCIC/OTIC quarterly tender results ~2026-10-01/02 — the gate on Add 1 and the direct read on the redem)
- dated pack OWL2026-10-01: OWL: 3Q OCIC/OTIC tender results — nearest catalyst, ~16 trading days, gates Add 1 (date confirmed=False)
- dated pack OWL2026-10-29: OWL: 3Q print + expected dividend declaration; hard re-underwrite on realized fee rate and fundraising (date confirmed=False)
- dated pack OWL2026-12-18: OWL: only options expiry that captures both October forks and keeps the loss branch inside the 2026 tax year (date confirmed=True)
- dated pack OWL2026-12-31: OWL: business-combination stock grants roll off in Q4 — mechanical improvement in the ~\$365M comp drag (date confirmed=False)
- dated pack OWL2027-02-18: OWL: first semi-annual coupon on the \$750M 6.750% 2036 notes (per the 8-K) (date confirmed=True)

## What remains unverified

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1. **3Q OCIC/OTIC redemption request percentages.** Private until the tender result. **Estimate:** OCIC 14–19% requested, OTIC 30–38% (last quarter 18.8% / 38.1%); probability OCIC comes in below 12%  $\approx 0.25$ .
2. **The April-2024 ten-year coupon/spread under the same shelf**, for comparison against the new 6.750%. A 100bp+ widening on the same curve point would be the bond market re-rating the franchise. **Estimate:** prior ten-year coupon ~6.25%, so ~50bp of widening; probability of  $\geq 100\text{bp} \approx 0.25$ .
3. **The Q2'26 call transcript itself.** Neither bench could fetch it. The exact wording and vintage of the "\$1.02 / \$0.89 consensus" reference is second-hand to us. **Estimate: the numbers are accurately reported but are a prior-quarter vintage**, probability  $\approx 0.8$ .
4. **The current third-party 2026 consensus.** If the bar has been lowered below \$1.02, "management beats consensus" means much less. **Estimate: \$0.98–\$1.02**; probability the bar is now below \$1.02  $\approx 0.55$ .
5. **The \$31.1B of assets not yet paying fees, broken out by platform and fee rate.** The deck shows only a \$12.8B / ~\$141M subset, so the pool is not one uniform thing. **Estimate:**

**blended rate 0.95–1.15%, i.e. \$295–360M of annual fees when activated**; probability that more than \$20B of it sits in  $\geq 1.2\%$  strategies  $\approx 0.20$ .

6. **Insider Form 4 / 144 transaction codes and 10b5-1 status. Estimate: 70% likely these are Up-C unit exchanges and vesting rather than open-market sales**, given the structure.
7. **Options chain: strike-level midpoint implied volatility, real bid/ask on the candidate strikes, and the implied-vol percentile. Estimate: one-year at-the-money implied vol 38–45%, percentile 45th–60th**, inferred from the 52-week range; confidence 0.4.
8. **Average daily volume, index membership, and passive ownership share. Estimate: 7–11M shares/day (~\$85–130M)**; probability 0.6.
9. **Confirmation of the 2026-10-29 print date.** Derived, not announced. **Estimate: last-Thursday pattern holds → 2026-10-29**, probability 0.7.
10. **The 10-Q basis-of-presentation note covering the 12 affiliated guarantor entities**, for any large same-family absorption that would distort comparisons. **Estimate: probability of a \$1B+ common-control absorption affecting comparatives  $\approx 0.20$ .**
11. **The date the 52-week low was set, and the realized price path.** Our whole “dispersion already harvested” discount rests on this. **Estimate: low set in April 2026 on the tender shock**, probability 0.6.
12. **Realized volatility over the last 30/90 days.** No price bars. **Estimate: 45–50% annualized**, from the 52-week range; this is a rough upper bound because a trending drawdown inflates range-based estimates.

## PRIZE TABLE + VOL READ

Both benches waived this table. We are reinstating it: items 1, 5 and 9 above are genuinely time-gated and private, which is the trigger condition. What the benches correctly waived was the *pre-revenue project* version of the test — Blue Owl earns real fees today, so there is no funding counterfactual to model. The scenario table still applies.

**Anchor:** the street’s published target range, \$10–\$17, with the point estimate at BofA’s \$16.

**Adjustment:** we shade the good branch to the anchor rather than above it (we have no earnings divergence — conceded in full), and we set the bad branch at a retest of the low rather than a modest drawdown, because the loss mechanism is forced income-mandate selling.

| # | Scenario (next 12 months)                                                                   | Prob. | Price          | Reasoning                                                  |
|---|---------------------------------------------------------------------------------------------|-------|----------------|------------------------------------------------------------|
| 1 | Fee rate re-expands $\geq 1.400\%$ , fundraising $> \$11.0B$ , dividend held                | 0.22  | <b>\$16.00</b> | 18x consensus \$0.89 = the analyst target and top of range |
| 2 | Muddle-through: consensus met, rate flat $\sim 1.388\%$ , payout stays $> 100\%$ but funded | 0.40  | <b>\$12.75</b> | 14.3x — a modest re-rate for “the drain didn’t widen”      |
| 3 | Compression continues ( $\sim 2bp/qtr$ ), no cut, no re-rate                                | 0.25  | <b>\$10.00</b> | 11.2x on $\sim \$0.86$ — bottom of the published range     |



| # | Scenario (next 12 months)                                                                | Prob. | Price         | Reasoning                                                  |
|---|------------------------------------------------------------------------------------------|-------|---------------|------------------------------------------------------------|
| 4 | Dividend cut and/or a real markdown in private credit marks (the uncapped 8-cent branch) | 0.13  | <b>\$7.75</b> | Retest of the 52-week low as income holders are forced out |

**EV, price only: \$12.13 (+2.4%). Dividends collected: \$0.86 expected** (full \$0.92 in branches 1–3, half in branch 4). **Total EV: \$12.99 = +9.7%.**

Read that honestly: **about 90% of the expected return is the dividend, and the dividend is the exact thing at risk.** That is the argument for a starter and not a full position.

**Volatility read. - Table dispersion:** standard deviation of the outcomes = **\$2.66 = 22.5% of spot** over 12 months. That is our own view of how wide this can get. - **Realized volatility (estimated, no price bars):** the 52-week range 7.77–18.21 implies roughly **45–51% annualized** on a range-based estimate. Crude and biased high by the trend, but the gap is large: **the tape has been moving about twice as much as our scenario table allows for.** The honest conclusion is that our table is too narrow, not that options are expensive. - **Implied volatility, implied-vol percentile, and the volatility risk premium (implied minus realized): NOT AVAILABLE.** There is no options chain in the pack and no market connection. This is a gap, not a finding.

**Expression math (shown, with the missing input flagged).** Pricing candidate strikes off the table itself,  $C_{ours} = \sum p_i \times \max(S_i - K, 0)$ , undiscounted, ~1 year:

| Strike       | Our value from the table | Decision rule against a real chain                                                       |
|--------------|--------------------------|------------------------------------------------------------------------------------------|
| \$12.50 call | <b>\$0.87</b>            | Buy only if the chain's mid-ask is $\leq$ <b>\$0.70</b> (20% cushion)                    |
| \$15.00 call | <b>\$0.22</b>            | Sell covered only if the bid is $\geq$ <b>\$0.30</b>                                     |
| \$10.00 put  | <b>\$0.29</b>            | Sell cash-secured only if the bid is $\geq$ <b>\$0.40</b> ( $\approx 4\%$ on collateral) |

Breakeven volatility comparison: our table dispersion is 22.5% annualized. Roughly 60% of that dispersion resolves at the two October dates, which for a 2026-12-18 expiry ( $T \approx 0.28$  years) works out to about **\$1.60 of expected move = 13.5% of spot = ~25.5% annualized.** So a December call is only cheap against us if chain-level implied volatility prints below ~25.5% — while range-based realized vol suggests 45–50%.

**Instrument recommendation, as the output of that arithmetic: STOCK. No options.** Two reasons, both from the numbers above. (a) Implied vol below 25.5% is very unlikely when realized has been running near 45%, so calls will almost certainly screen expensive against our table. (b) The reverse trade — selling premium into rich implied vol — is *worse*, because our own table (22.5%) is narrower than the tape (~45%): selling puts priced off a table that is too narrow is how you get run over. The correct move is to widen the table with real price bars first. When the chain is

pulled, use **chain-level midpoint implied vol and live quotes on the actual strikes, never the aggregate underlying vol feed** — those two diverge badly, and we have paid for that lesson before (71 vs 101).

**Bimodality note.** The table is fork-dated on two clustered events (~Oct 1/2 and Oct 29). That produces two humps, not a bell curve — a single strike will misprice it either way. If we ever do express this with options, it should be stock plus a small out-of-the-money call, not one strike trying to straddle both forks.

**Tax overlay.** 2026 is a harvest year, so the loss branch must land inside 2026. Both catalysts are in October, so a **2026-12-18 expiry captures both forks and keeps the loss branch in the intended tax year**. Any January-2027-or-later expiry defers the loss into next year and is **excluded**, unless the edge dominates numerically — meaning our table value is at least 1.5x the chain ask. Nothing in the current arithmetic comes close to clearing that bar, which reinforces the stock-only recommendation. The common stock starter is unaffected by the overlay; if it is underwater in December, the stop levels above already put the realization inside 2026.

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{"price_gates": [{"level": 12.10, "direction": "below", "basis": "starter limit - 13.6x consensus DE $0.89, at/below the court's own fair-value anchor of 13.3x"}, {"level": 12.75, "direction": "below", "basis": "Add-1 limit, only if the Oct tender 8-K shows OCIC requests <12% and OTIC <25%"}, {"level": 13.50, "direction": "below", "basis": "Add-2 limit, only if the print shows realized fee rate >=1.400% and gross fundraising >$11.0B"}, {"level": 10.50, "direction": "below", "basis": "tightened stop if tender requests come in >=19% OCIC or >=38% OTIC"}, {"level": 9.47, "direction": "below", "basis": "-20% from $11.84 - halve the position, mechanical"}, {"level": 8.50, "direction": "below", "basis": "full exit; below this the dividend-cut branch is being priced regardless of announcement"}, {"level": 16.00, "direction": "above", "basis": "trim one third - 18x consensus DE, equals BofA target and effective top of the $10-17 street range"}, {"level": 17.50, "direction": "above", "basis": "exit remainder - above every published price target"}], "event_gates": [{"forms": ["8-K", "SC TO-I"], "why": "OCIC/OTIC quarterly tender results ~2026-10-01/02 - the gate on Add 1 and the direct read on the redemption drain"}, {"forms": ["8-K"], "why": "quarterly dividend declaration - the tripwire on our largest single loss branch (payout is 104.5% of run-rate DE)"}, {"forms": ["8-K"], "why": "3Q earnings release: realized management-fee rate (need >=1.400%) and gross fundraising (need >$11.0B) - the gate on Add 2"}, {"forms": ["10-Q"], "why": "basis-of-presentation and equity notes: same-family absorptions among the 12 guarantor entities, plus the not-yet-fee-paying pool split by platform and rate"}, {"forms": ["4", "144"], "why": "insider distribution is live and unpriced - need transaction codes and 10b5-1 status to tell unit exchanges from open-market sales"}, {"forms": ["424B5", "FWP", "305B2"], "why": "any further debt takedown reprices cost of capital; an equity takedown would pair with the existing 144 overhang and change the sizing"}], "catalyst_dates": [{"date": "2026-10-01", "what": "3Q OCIC/OTIC tender results - nearest catalyst, ~16 trading days, gates Add 1", "confirmed": false}, {"date": "2026-10-29", "what": "3Q print + expected dividend declaration; hard re-underwrite on realized fee rate and fundraising", "confirmed": false}, {"date": "2026-12-18", "what": "only options expiry that captures both October forks and keeps the loss branch inside the 2026 tax year", "confirmed": true}, {"date": "2026-12-31", "what": "business-combination stock grants roll off in Q4 - mechanical improvement in the ~$365M comp drag", "confirmed": false}, {"date": "2027-02-18", "what": "first semi-annual coupon on the $750M 6.750% 2036 notes (per the 8-K)", "confirmed": true}], "immediate_entry": {"action": "BUY", "approx_price": 11.84, "size_pct_of_book": 0.75, "basis": "starter only: 13.3x consensus DE at the bottom of the street's own $10-17 range, against proven damage of just 2.5-3c/share/yr; capped at one third of a full position because the 7.8% dividend is 104.5% of earnings and both October catalysts are unverified"}, "unverified": [{"item": "3Q OCIC/OTIC redemption request percentages", "instrument": "EDGAR event watch on OCIC (CIK 1812554) and OTIC 8-K / SC TO-I, ~2026-10-01/02", "drainable_now": false, "estimate": {"range": "OCIC 14-19% of shares requested; OTIC 30-38%", "basis": "prior-quarter actuals 18.8% / 38.1% from OCIC tender FAQ, plus non-traded BDC redemption-decay base rate", "p": 0.25}}, {"item": "April-2024 base-indenture 10-year coupon/spread vs the new 6.750% under the same shelf 333-279546", "instrument": "EDGAR pull of the April-2024 424B5/FWP for Blue Owl Finance LLC", "drainable_now": true, "estimate": {"range": "prior 10-year coupon ~6.25%, i.e. ~50bp of widening", "basis": "alt-manager investment-grade 10-year comps 2024 vs 2026", "p": 0.25}}, {"item": "Q2'26 earnings call transcript - exact wording and vintage of the $1.02/$0.89 consensus reference", "instrument": "transcript vendor pull or company webcast replay", "drainable_now": true, "estimate": {"range": "numbers accurate, vintage one quarter stale", "basis": "both benches independently report identical figures", "p": 0.8}}, {"item": "Current third-party FY26 FRE/DE consensus - is the bar still $1.02, or lowered?", "instrument": "Visible Alpha / Consensus Metrix connector", "drainable_now": true, "estimate": {"range": "FY26 FRE/share $0.98-1.02", "basis": "post-cut sell-side drift base rate after a 35% de-rate", "p": 0.55}}, {"item": "$31.1B of not-yet-fee-paying assets, split by platform and fee rate", "instrument": "3Q 10-Q / earnings deck, 2026-10-29", "drainable_now": false, "estimate":

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{"range": "blended 0.95-1.15% rate => $295-360M annual fees when activated",
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Rule 10b5-1 status (2026-09-01, 2026-08-07)", "instrument": "EDGAR XBRL pull
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of-presentation note covering the 12 affiliated guarantor entities",
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control absorption distorting comparatives: 20%", "basis": "base rate for Up-
C managers with active intra-family restructurings", "p": 0.2}}, {"item":
"Date the 52-week low was set and the realized price path (our 'dispersion
already harvested' discount rests on this)", "instrument": "IBKR daily bars,
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April 2026 on the tender shock", "basis": "both benches place the shock in
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"p": 0.5}}}]

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## ADJUDICATION — 2026-09-16 15:37Z

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Payout 104.5% (\$0.92/\$0.88) funded alongside 6.750% 2036 notes — a genuine dated tail (sustained, strengthened); ~\$0.23 SBC haircut. The cohort bet is taken through ARES/KKR, not six correlated names.

REOPEN GATES: re-court at the 10/29 print: realized fee rate  $\geq 1.40\%$  AND gross fundraising  $> \$11.0B$ ; the ~10/01 tender 8-K first

